doesn't change with 54% of diamonds breaking out downward and the other 46% breaking out upward.

For two-diagonal patterns, when the bottom (F) happened before the top (E in pattern EFG), I found they break out downward 57% of the time, a slight improvement over the 54% benchmark.

The two-diagonal, bottom (H) after the top combination (I in HIJ pattern) correctly predicts an upward breakout 52% of the time. That's almost random. Of course, Toshchakov doesn't claim that the two-diagonal has a defined breakout pattern, but I checked anyway. Figure 24.4 show a good example of a two-diagonal pattern with the bottom coming before the top. It's supposed to break out upward, which it does in this example.

How do you apply this to your trading? Only single diagonals with the bottom after the top work well enough to consider using. First, you have to determine if the diamond is a single- or two-diagonal pattern. Once you figure that out, check to see if the bottom comes after the top. If so, there's a 65% chance price will break out upward.

Figure 24.6 shows a single diagonal with the bottom after the top. And look! It breaks out upward. Figure 24.5 shows a single diagonal with the bottom after the top and a downward breakout when it should be upward.

Sample Trade

Figure 24.7 shows a diamond top Lorenzo traded. He first noticed the diamond well after it formed—during the throwback to be exact. The throwback's hooking pattern caught his attention, and he searched for a nearby chart pattern. In this case, he saw a diamond top, but was it a valid diamond?

Lorenzo reviewed the identification guidelines and found that price was rising into the pattern, verifying a top. The diamond shape, although pushed to one side, had an adequate number of touches of each diamond boundary (the trendlines). Volume receded from the middle of the pattern to the end, so it had a downward trend.

Breakout volume was high but nothing to write home about and well below the peaks of a few days earlier. Price also gapped upward (C), suggesting